

Alongside a direct – albeit so far relatively contained – build-up of fiscal premium, the euro continues to suffer from an unwinding of ECB rate hike expectations due to French bond turbulence. Risks remain firmly on the downside for EUR/USD. Elsewhere, markets will seek clarity on a November hike from Bank of England speakers this week

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## ↑ USD: Staying supported

The dollar has continued to find support at the start of this week. The euro's idiosyncratic weakness is still playing a role, and so are global bond yields that keep pushing higher. Strong equity performance likely capped USD gains and allowed some high-beta currencies to outperform, but the domestic backdrop remains constructive for the greenback.

Yesterday, the ISM services index eased to 54.9 from 55.4 (consensus 55.0), but remained firmly in expansion territory.

Business activity and new orders softened, though stronger employment and order backlogs, alongside a fresh high in prices paid, helped offset the decline. Overall, slightly hawkish news if anything (especially on jobs and prices), but not enough to materially alter the Fed narrative. Markets are likely to remain comfortable with an October hold provided September core CPI (released on 14 October) prints at 0.2% MoM, which is where consensus is converging. But a hike in December remains the base case, also for our macro team.

Today's calendar is lighter, with only trade data and weekly ADP payrolls. There are a few Fed speakers to watch: Williams, Musalem,

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Pricing for the March ECB meeting has declined from 80bp on 24 September to 45bp now. This has been a very EUR-specific move and has pushed the EUR:USD two-year swap rate differential (ESTR-SOFR) to -167bp. The last time the spread was at these levels was in August 2025. At that point, EUR/USD was trading around 1.16-1.17, but that reflected a sizeable USD-specific risk premium after Liberation Day and a sharp rise in USD hedging demand. Before Liberation Day, a swap spread at current levels was consistent with EUR/USD closer to 1.08.

Some relief in French bonds yesterday helped EUR/USD recover to just above 1.120 after a fall to 1.1160, but we don't have much confidence in a sustained rebound. The fiscal risk premium is still relatively limited, leaving scope for EUR/USD to test 1.110 or even 1.100 if bond market stress intensifies. Markets are now awaiting details from Marine Le Pen on a counter-budget.

*Francesco Pesole*

## ➔ **GBP: BoE speaks to shed light on November hike**

The spotlight this week is finally on Bank of England speakers

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suspect EUR/GBP may reach 0.840 before clear support emerges.

*Francesco Pesole*

## ⬆ **CZK: Inflation to revive hawkish CNB bets**

Czech September inflation is due today. We expect headline inflation to rise from 1.9% to 2.5% year-on-year, slightly above market expectations and the CNB's August forecast of 2.2%. As in Poland last week, higher fuel prices should be the main driver. However, the CNB is more focused on core inflation, where the

outlook is less favourable; we expect it to edge up from 3.0% to 3.1%.

With energy prices still elevated and little relief in sight, we expect the CNB to hike again in November. It would take a sizeable downside inflation surprise to avert a hike. Although growth is weaker than the CNB expected, household consumption remains resilient and the main engine of the economy. Next year's draft budget also provides another boost to public sector wages and pensions. Meanwhile, domestic energy suppliers are announcing price increases for the coming months, with most repricing likely in January, probably the central bank's key concern. While the CNB

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ICE Brent continues to find support around the \$100/bbl level, with geopolitical risks outweighing an improvement in the supply picture



Warren Patterson and Ewa Manthey

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Persian Gulf, the market remains nervous about potential supply disruptions from the region. This is keeping prices well-supported for now. This nervousness is likely to persist until there are signs of progress in a deal between the US and Iran. In the meantime, the risk of further escalation remains very real.

Reports yesterday said Saudi Arabia's East-West pipeline was targeted again. It only recently returned to operation following an earlier attack. Though the latest attack doesn't appear to have disrupted flows through the pipeline, it's a reminder that flows remain at risk.

Oil producers in the Persian Gulf continue to adapt to the region's situation. Kuwait said that it is producing at 75% of pre-war levels, while the Saudis also cut the official selling price of their Arab Light into Asia for November loadings, a sign of an improving supply picture.

The European gas market remains vulnerable, despite signs of a more recent pick-up in LNG flows from the Persian Gulf. EU gas storage is just shy of 73% full. This is down from 83% at the same stage last year, and below the 5-year average of 88%. While injections have been stronger than the seasonal average through September, the region will still struggle to hit storage targets ahead

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In precious metals, gold edged higher as investors sought safe-haven assets amid growing fiscal concerns in Europe. However, gains may remain capped by elevated Treasury yields, persistent inflation concerns and a firmer US dollar.

## Agriculture — Sugar rally extends on supply concerns

Sugar prices rose for a third consecutive session, with No. 11 raw sugar climbing more than 4% and breaking above USc20/lb. The rally is being driven by mounting concerns over tightening global

supplies as adverse weather conditions threaten production across key producing regions. El Niño-related disruptions have shifted market expectations from a projected surplus earlier in the year to a potential global deficit.

In Brazil, excessive rainfall has disrupted cane harvesting and crushing operations, contributing to a sharp decline in Center-South sugar production. In India, below-normal monsoon rainfall has lowered production forecasts, while European sugar beet yields are expected to be 11% below the five-year average.

Data from Ukraine's Agriculture Ministry shows that grain and

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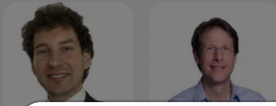
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Turmoil in European government bond markets could trigger a further dovish repricing for the European Central Bank, especially as second-round inflation risks seem limited. Fiscal plans from Le Pen could ease French government bond spreads if they contain credible measures to tackle the issue



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## Plenty of room for more dovish ECB pricing

Upward pressure on longer-dated rates remains, which means a dovish turn by the ECB can trigger more curve steepening. Already we see that the volatility in European government bond markets is pulling down the short end of the curve. And for good reason. So far, the risk of a second-round inflation impact has not materialised, and as we've argued before, is likely overestimated by the market. Labour markets are not as tight as in 2022, which should limit the risk of wage growth pushing inflation higher.

Meanwhile, weaker market sentiment also provides a reason for markets to turn more dovish on the ECB. Credit spreads are widening, tightening financial conditions, and a weaker growth outlook should allow a more balanced reaction function. Contagion from French government bonds to other markets also increases financial stability risks, something which the ECB is likely to wish to mitigate.

In contrast, longer-dated rates should continue to feel a push higher, but this should be seen in a global context and not specific to euro rates. A global repricing of 10yr real rates combined with lingering supply pressures can keep the long-end elevated. This

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that is, if they contain plausible measures to tackle the issue. Without credible numbers, we think the spread could remain in the upper half of the 100–150bp range, as we are also heading into a potential ratings review from Moody's later this month. France could then well lose its last double-A rating from one of the three major rating agencies.

## Tuesday's events and market view

After French industrial production data and German factory orders in the morning, we move to eurozone retail sales for August. Consensus sees a slight uptick from 0.6% year-on-year to 1.0% YoY. From the US we have the trade balance numbers for August. More interesting could be the various central bank speakers from the Federal Reserve, ECB and Bank of England. With global 10Y rates testing new highs, markets will listen for a potential reaction from monetary policy.

In primary markets, Austria will auction 6yr RAGB and 35yr RAGB bonds for a total of €1.7bn. The UK will sell £1.25bn of

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Europe's construction volumes will keep growing but remain subdued. Infrastructure investment and Germany's gradual rebound are drivers, while higher financing costs and geopolitical risks cap momentum. Housing permits have stabilised, signalling that a stronger residential recovery will have to wait

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## Low growth returns in 2026

We expect EU construction output to grow by a marginal 0.5% in 2026, following a 1.8% decline in 2024 and 2.3% growth in 2025. More broadly, EU GDP has outpaced construction output in recent years, showing that the construction sector has lagged the broader economy.

The positive signals seen in early 2025 have since weakened. By September, the EU construction confidence indicator had stopped improving and had fallen below its level a year earlier. Nevertheless,



the EU economy has remained surprisingly resilient despite higher energy prices, rising interest rates and greater geopolitical uncertainty. Increased defence and infrastructure spending, together with Germany's cyclical rebound, is partly offsetting the headwinds.

## EU construction lags GDP growth

Volumes, Index 2018 Q2 = 100

115

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and sustainability projects, while infrastructure investment, supported by EU funds and spending on energy and digital networks, has provided an additional offset.

## EU construction forecast

Volume output construction sector, % YoY

|                                                                                   |                | 2024  | 2025  | 2026* | 2027* |
|-----------------------------------------------------------------------------------|----------------|-------|-------|-------|-------|
|  | Austria        | -2.0% | -0.1% | 0.0%  | 1.0%  |
|  | Belgium        | -1.2% | 0.2%  | -0.5% | 0.5%  |
|  | France         | -3.9% | -3.5% | -2.5% | -1.5% |
|  | Germany        | -3.2% | -1.8% | 1.0%  | 2.0%  |
|  | Netherlands    | -1.1% | 1.9%  | 0.0%  | 1.0%  |
|  | Poland         | -7.7% | 0.0%  | 0.0%  | 2.0%  |
|  | Spain          | 2.6%  | 4.0%  | 3.0%  | 2.0%  |
|  | European Union | -1.8% | 2.3%  | 0.5%  | 1.0%  |

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contraction in 2026.

**Spain's** construction sector is still recovering. After losing more than 25% of its output between 2019 and 2022, the market began to rebound in 2023. We forecast growth of 3% in 2026. Building permits have risen sharply in recent years, although momentum is easing. Contractor confidence is easing from a very high level in recent months. Even so, robust GDP growth should support construction this year and next.

For the [Netherlands](#), we expect construction output to stabilise in 2026 after a weak first half, followed by modest growth in 2027.

Housing construction should gradually recover as the recent rise in building permits feeds through into starts and completions, although projects are often delayed and the recovery will remain limited. Infrastructure remains an important driver.

**Poland's** construction sector had a volatile start to 2026, with output falling by 6.8% in the first quarter due to the cold winter before rebounding by 8% in the second. Building permits are rising slightly, confidence remains stable and robust GDP growth of 3.4% should support demand. The resumption of EU funding is also expected to support infrastructure investment. Nevertheless, we expect construction output to remain flat in 2026, largely because

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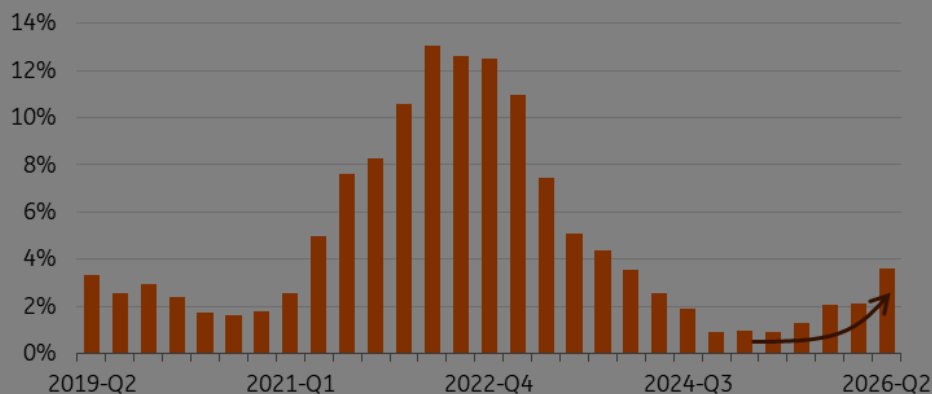
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countries without them, such as Spain, face greater exposure.

Private contracts offer even less protection, increasing the risk of disputes, delays and halted projects.

## Building costs higher but increases remain benign

Development building prices EU-27, new residential buildings, quarterly yoy



Source: Eurostat, ING Research

## Low water levels are delaying deliveries

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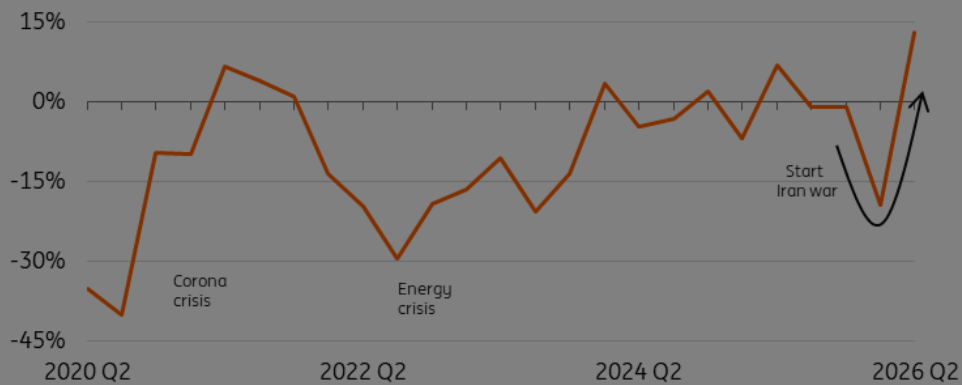
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during the 2022 energy crisis. Confidence recovered, and second-quarter profit expectations exceeded pre-war levels. This rebound may prove excessive, as energy prices have since begun rising again.

## Profit expectations are up again

Expectations profit margins European constructors, Balance of companies that expect an increase-/decrease of the profit margin in 12-months



Source: RICS, ING Research

## Residential growth stalls

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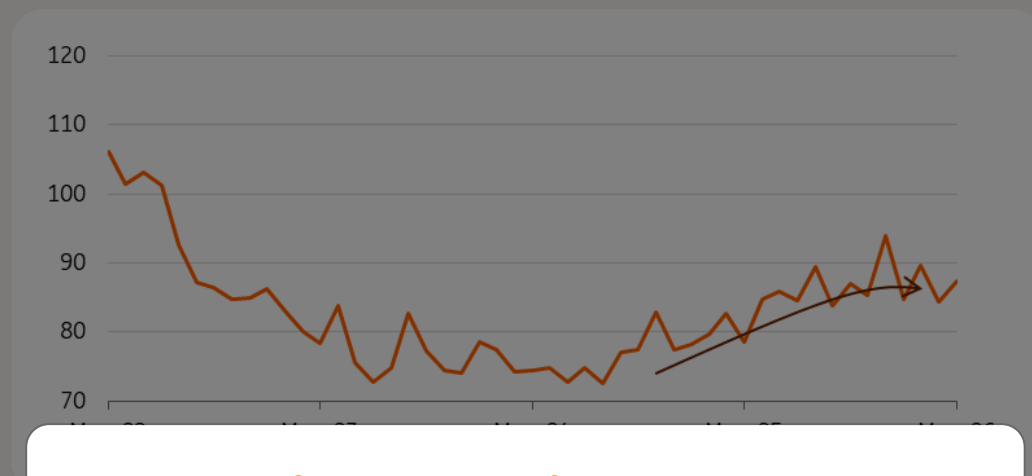
construction costs has so far remained modest.

One possible offset is that buyers may prefer new homes because they are generally more energy-efficient than existing properties. However, the stabilisation in permit issuance suggests that this advantage is not strong enough to drive further growth.

The number of permits issued for new houses is an important indicator of future volumes in the residential sector. Typically, it takes between one and two years from the granting of a permit to the completion of a new home.

# Recovery of issued building permits slows

EU Building permits new dwellings, SA (index 2021=100)



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**Dutch** permits for new homes surged in the second quarter of 2026. Statistics Netherlands has since paused publication of recent data, saying the increase appears implausibly large and may reflect legislative changes related to grid congestion. Limited grid capacity continues to delay new connections and construction projects, while nitrogen restrictions cause further setbacks. The government's plan to reduce nitrogen emissions of peak polluters and make way for other business activities is now under parliamentary review.

**Spanish** housing permits nearly tripled between 2020 and 2024, largely reflecting a rebound from the exceptionally low pre-

pandemic era base and a recovery in housing demand. Growth now appears to have peaked, with permits falling by almost 2% in the second quarter of 2026. The government's PERTE programme, co-financed through European recovery funds, aims to speed up and reduce the cost of housing construction through prefabrication and modular methods, but its impact will take time.

### Business case still difficult

Housing shortages remain severe in many European cities, but new housing projects are more difficult to make commercially viable in some countries than in others. Although permit issuance has increased in many markets, construction costs remain high.

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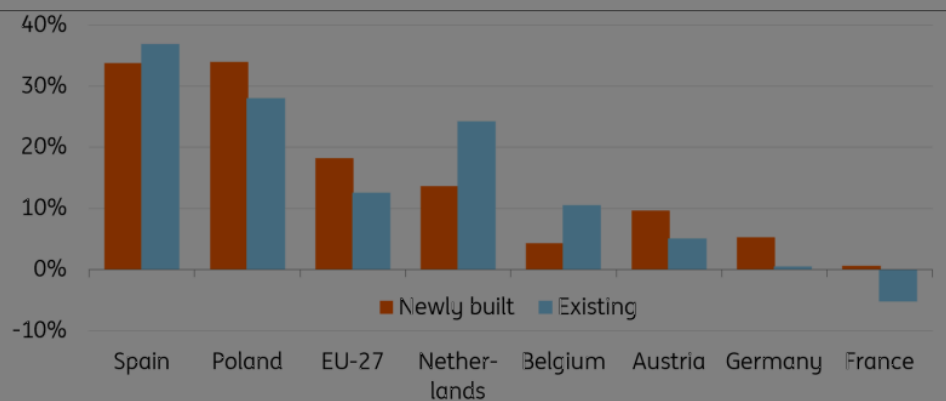
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## European country

House price developments 2026 Q2 compared to 2023 Q2



Source: Eurostat, ING Research

## Infrastructure growth continues

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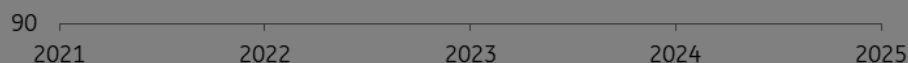
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Source: Euroconstruct, ING Research

The EU **energy construction sector** has been growing since 2022, driven by investments in renewable energy and electricity grid expansion. Growth is expected to remain strong as many countries in the EU continue to upgrade power infrastructure to support the energy transition and rising electricity demand.



**Railway construction** is showing strong growth. Across the EU, activity is being supported by both network renewals and major cross-border projects. Examples include Rail Baltica, which will connect the Baltic States with Poland, the Lyon–Turin rail link between France and Italy and high-speed rail investment in Spain, Portugal and Italy. Together, these projects illustrate the EU's drive to expand rail capacity.

**Telecommunications** construction has grown modestly in recent years, supported by [fibre-optic expansion](#) and continued investment in 5G networks across the EU. Although coverage is improving, progress varies widely between member states and

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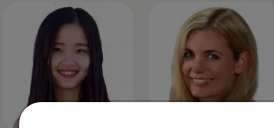
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The US is rolling out a multipronged strategy to reduce its reliance on China's rare earth supply chain. While it is unlikely to challenge China's dominance, it could provide meaningful alternative supply. End users therefore need to evaluate, reconfigure, and invest in supply chain resilience



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## Rare earth security rises to the top of the national agenda

Rare earth materials are critical to sectors such as semiconductors, defence, wind energy, and EVs, but the US remains heavily dependent on China for its supply. As trade uncertainty persists, securing the rare earth supply chain has become a national priority for the US.

After decades of underinvestment, the US is unlikely to challenge China's global dominance anytime soon. But that is not necessarily the goal. Its increasingly sophisticated strategy is designed to build

a meaningful alternative supply chain that can protect strategic sectors during geopolitical disruption.

For rare earth manufacturers, this creates opportunities to expand production and build more integrated supply chains. For end users, it highlights the need to better understand supply chain risks while investing in long-term resilience.

## How the US is strengthening its supply chain

The US's government-led rare earth supply strategy is becoming increasingly comprehensive. It is expanding supply sources

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domestic rare earth supply chain. Similarly, in 2025, the Department of Defence (DOD) announced it would acquire a 15% stake in MP Materials, alongside a 10-year purchase agreement for the company's magnets and a 10-year price floor for neodymium-praseodymium (NdPr) oxide, a critical input for permanent magnets.

These measures are critical in reducing investment risk and helping manufacturers expand production. Below are examples of new capacity announcements in the US, particularly at supply chain weak spots.

- **Processing and refining:** [Ucore](#) announced in May 2026 that it will build a facility capable of processing 9,000 tons of rare earth feedstock per year, a major step up from its demonstration-scale facility in Canada. MP Materials has not disclosed a production target, but output is already rising, with 1,757 tons of NdPr oxide produced in the first half of 2026 versus about 2,600 tons in all of 2025.
- **Magnets:** [MP Material](#), [Vulcan Elements](#), and [USA Rare Earth](#) have all announced plans to produce 10,000 tons of NdFeB magnets each at their respective facilities. In comparison, MP Materials produced its first magnets in Q4 2025, and USA Rare Earth announced plans to produce 600 tons of magnets in Q4 2025.

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Following China's temporary rare earth export restrictions in October 2025, the US and Australia agreed to deepen cooperation on critical minerals and rare earths through an \$8.5bn partnership. As such, companies such as Energy Fuels and Lynas Rare Earths are sourcing Australian feedstock for processing and manufacturing operations in the US.

Brazil's strength lies in its resource base. The country holds the world's second-largest rare earth reserves, estimated at roughly 25% of China's. In 2026, USA Rare Earth announced a \$2.8bn deal to acquire Serra Verde, the operator of Brazil's only producing rare earth mine in Goiás.

**“Friend-shoring allows the US to secure supply more quickly and cost-effectively.”**

The US DOD is actively supporting friend-shoring efforts in both countries, through methods such as loans and purchase

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**significant.”**

Yet the long-term recycling opportunity is significant. Recycling end-of-life products could meet 10% of global rare earth demand by 2050, according to the International Energy Agency. In North America alone, there could be nearly 14,000 tons of end-of-life magnet rare earth feedstock available by then, from wind equipment, EV motors, and other e-waste. These could be an important niche to boost US supply security.

Government support will be important in scaling up recycling technologies, and the US has already begun to provide it. For

example, Critical Materials Recycling received \$3.4m in funding from the Department of Energy (DOE) to recover high-purity rare earth oxides from shredded computer hard drives and other e-waste.

Companies are also developing so-called "short-loop" recycling, which turns end-of-life magnets directly into new magnets without first breaking them down into raw materials. Noveon Magnetics is one example and has received nearly \$30m in DOE funding to advance the technology.

Companies in the US have collectively announced 15,000 tons of

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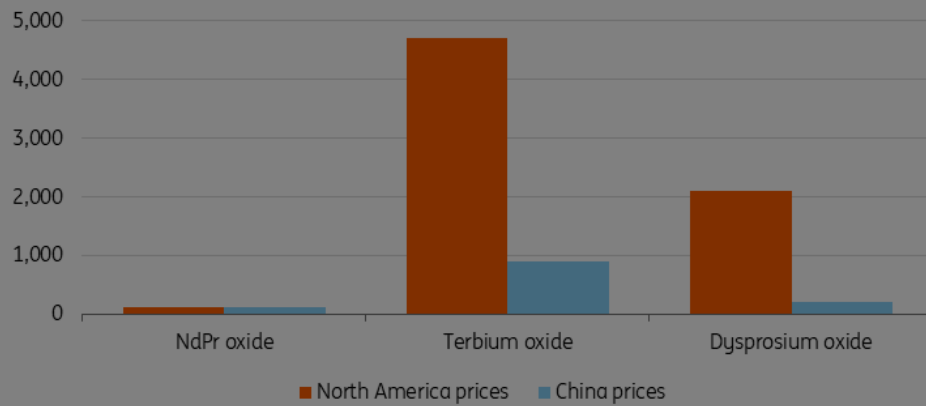
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Competitiveness also varies significantly by rare earth element. For example, NdFeB magnets require neodymium, praseodymium, terbium and dysprosium. The US could become cost-competitive in producing NdPr oxide. But producing terbium and dysprosium oxides remains far more expensive than in China, as reflected in the much higher prices. This partly reflects the composition of US reserves, which contain way less terbium and dysprosium.

## Selected rare earth intermediary product prices

\$/kg



Source: S&P, ING Research. Data is as of early 2026.

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vulnerabilities, looking beyond direct suppliers to upstream sources of rare earth materials. This helps identify where dependencies on China remain and provides a clearer view of potential risks.

- **Reconfigure:** Where material risks are identified, companies may need to adjust sourcing strategies. This could include paying a reasonable premium for non-Chinese supply to improve supply security, an approach that is attracting growing interest. For particularly vulnerable materials, maintaining larger inventories may also help mitigate disruption risks.



- **Invest:** Companies can strengthen long-term resilience by securing purchasing agreements with alternative suppliers. They can also support broader supply chain resilience through investments in areas such as recycling, processing, and other capabilities.

The US's rare earth strategy aims to support both domestic producers and downstream users. However, end users would not benefit from waiting for these initiatives to deliver results. Proactively managing supply chains today will be critical to securing business continuity tomorrow.

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BUNDLE

PUBLISHED 2 HOURS AGO

## The US rare earth push: what comes next?

> This bundle contains 2 articles



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The US has significant rare earth resources, but its supply chain remains heavily reliant on China. The biggest gaps do not sit in the mine, but rather in processing, heavy rare earth separation and magnet manufacturing



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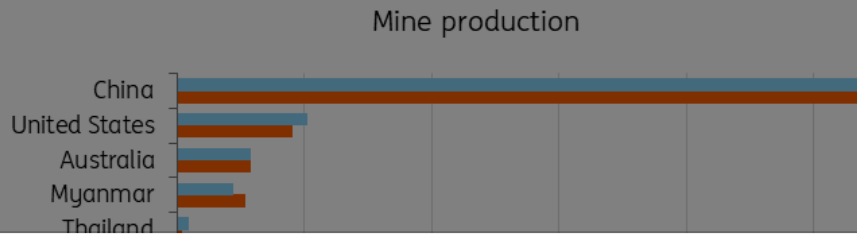
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[Last year we wrote about](#) how China could use its dominance of rare earth supply chains as political leverage. Although supply pressures eased after the US and China reached a framework agreement in June 2025, Beijing's subsequent expansion of rare earth export controls in October highlighted the persistent vulnerability of downstream supply chains.

Headline import dependence tells only part of the story. The US is producing more rare earths, but it still cannot process enough of that output into the specialised materials and magnets needed by

domestic industry. The main weakness emerges after the ore leaves the mine.

## US rare earth production is growing, but China still leads



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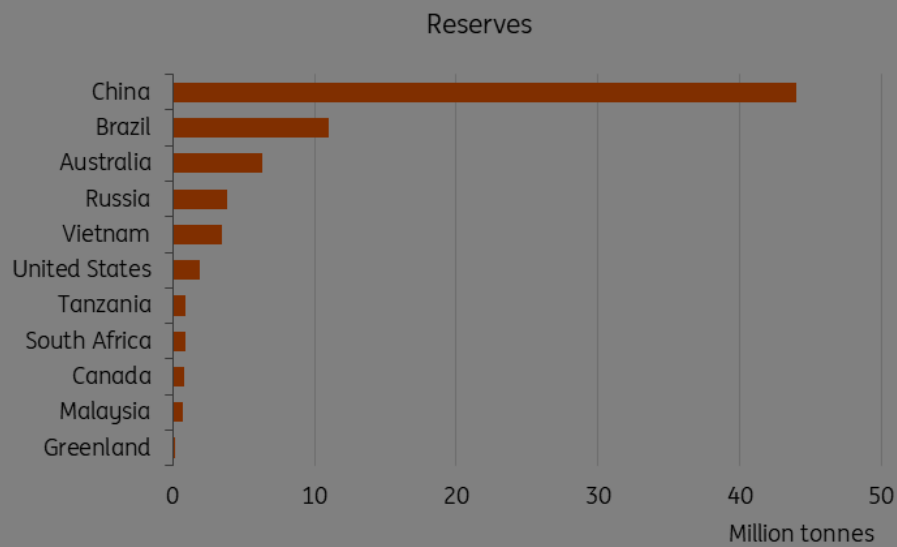
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These are important steps towards a domestic mine-to-magnet supply chain. But one mine, increasing light rare earth separation and limited magnet production, cannot yet supply the full range of products needed by US industry.

## The US rare earth capacity weakens further down the supply chain

| Supply-chain stage          | US status                     |
|-----------------------------|-------------------------------|
| Mining                      | Established, but concentrated |
| Concentrate production      | Established                   |
| Light rare earth separation | Operating and expanding       |
| Heavy rare earth separation | Early-stage and limited       |
| Metallisation               | Limited                       |
| Alloy production            | Limited                       |
| Magnet manufacturing        | Early-stage and limited       |
| End-use manufacturing       | Strong                        |

Source: ING Research

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and often tailored to a particular ore body and product mix. Processing can also generate toxic and, in some cases, radioactive waste.

## Heavy rare earths are the weakest link

The US gap is widest in heavy rare earths. Dysprosium and terbium are added in small quantities to neodymium-iron-boron magnets to help them perform at high temperatures. This makes them particularly important for electric-vehicle motors, aerospace systems and defence equipment.

US output is concentrated in light rare earths such as neodymium and praseodymium. Commercial-scale domestic separation of dysprosium and terbium is only beginning.

MP Materials is developing a heavy rare earth separation line at Mountain Pass designed to produce around 200 tonnes of dysprosium and terbium a year. This would be an important domestic step, but it will not close the gap on its own. Domestic metallisation and magnet-making capacity also remain limited.

New separation facilities will also need reliable feedstock. Heavy rare earth production is concentrated in China and Myanmar,

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would meet well below 20% of demand outside China in 2035. The project pipeline is strongest in mining and weakest in magnets.

Demand is also rising across electric vehicles, wind turbines, robotics, data centres and defence. This increases the risk that diversified capacity will struggle to keep pace, even if announced projects proceed.

## The defence deadline adds urgency

Rare earths are used in small quantities, but they are difficult to replace in advanced defence systems. The US Department of

Defence estimates an F-35 requires more than 400kg of rare earth elements, an Arleigh Burke-class destroyer around 2.4 tonnes and a Virginia-class submarine around 4.2 tonnes.

The deadline is approaching. From 1 January 2027, US defence procurement restrictions will extend across the supply chain for neodymium-iron-boron and samarium-cobalt magnets originating in China, North Korea, Russia or Iran, subject to limited exceptions.

## Rare earth materials are essential to US defence systems

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The US rare earth challenge is industrial rather than geological. Its vulnerability lies in the difficult stages between the mine and the finished component. [The second article in this series](#) examines how Washington is trying to close those gaps through domestic investment, friend-shoring and recycling.

Rare earth materials

China trade



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In the wake of dovish-leaning comments from the Fed leadership and softer-than-anticipated inflation, today's weaker-than-predicted jobs figures have further diminished the chances of an October interest rate hike. December remains the most likely date for the next move. We continue to believe market pricing for additional action is too aggressive

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# 29,000

Number of jobs added in  
September

Lower than expected

**September jobs report was weaker on all  
three key metrics**

The US September jobs report is softer than expected on all three key metrics. 1) non-farm payrolls rose +29k versus the +90k consensus with 60k of downward revisions, 2) the unemployment rate ticks up to 4.2% from 4.1%, driven by a partial recovery in the participation rate (people returning to the workforce) and 3) and wage growth of 3% year-on-year versus 3.1%, suggesting that there is no inflation threat emanating from the jobs market.

It chimes with the latest comments from Federal Reserve big hitters John Williams (NY Fed president) and Philip Jefferson (Vice Chair), suggesting they may need more time/no urgency to hike rates. As such, the Fed leadership is clearly leaning in the direction of an

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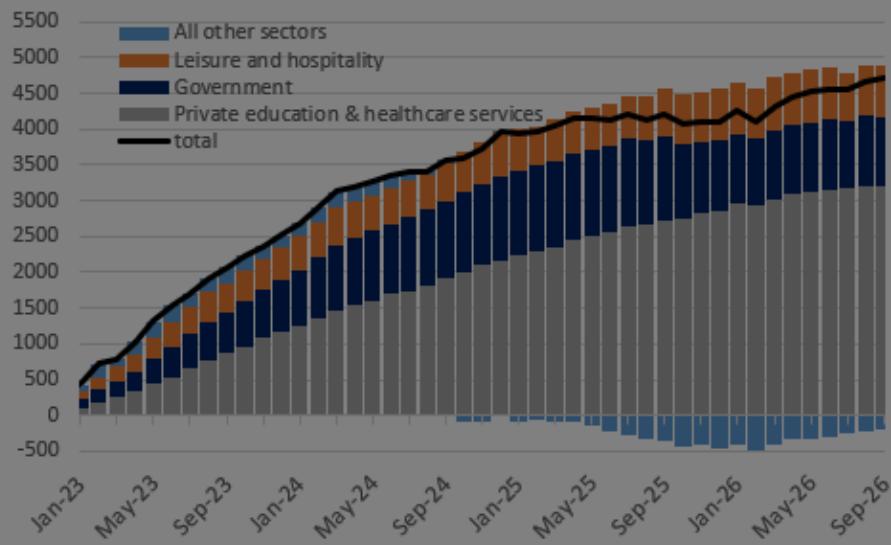
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**Cumulative employment change since  
December 2022 (000s)**



Source: Macrobond, ING

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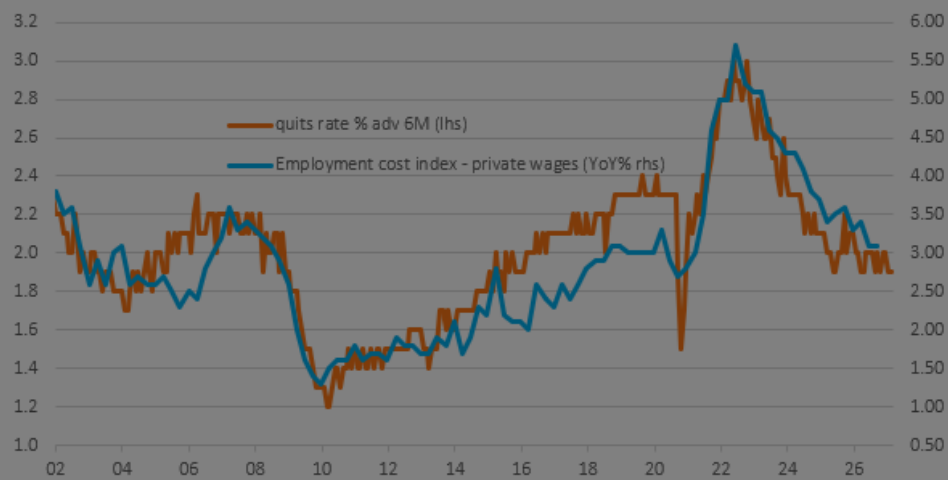
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jobs market and reinforces our view that the market pricing of 3–4 Fed rate hikes looks too aggressive.

## Low quits rate points to ongoing wage weakness



Source: Macrobond, ING

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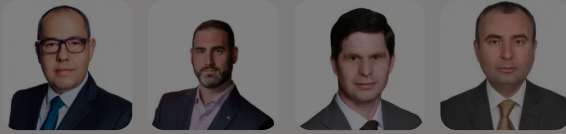
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Poland is expected to leave rates unchanged next week, while Hungary, the Czech Republic and Turkey release September inflation data alongside key activity figures



Adam Antoniuk, Peter Virovacz, David Havrlant and Muhammet M.

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## Unchanged

We expect the National Bank of Poland (NBP) to leave interest rates unchanged on Wednesday 7 October, with the reference rate remaining at 3.75%. On the one hand, headline CPI rose to 4.0%YoY in September, moving well above the central bank's 2.5% target (+/- 1 percentage point). On the other hand, inflation is solely being driven by an external energy shock, with no clear signs of broader inflationary pressures or second-round effects. Core inflation likely declined last month, while fuel and household energy prices account for around 2.5 percentage points of annual inflation.

This means policymakers still have some time before taking any policy action. We believe the debate on monetary tightening may begin in November, when the NBP publishes its new staff macroeconomic projections. We continue to expect rates to remain unchanged for the rest of this year, although we see scope for 50bp of rate hikes in early 2027.

## Hungary: Higher fuel prices set to push inflation up

We expect the favourable underlying budget performance to continue in Monday's data release. Following an August deficit

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inflation forecast for Hungary in September. we are anticipating a significant increase in headline inflation, with fuel prices accounting for around 75% of the acceleration. The other major impact is the recent weakening of the HUF, which is accelerating price changes in imported food, durables, and FX-sensitive services. Other than that, we still don't expect to see major second-round effects in the data. If our nowcast is close to the actual outcome, we will need to revise the full-year 2026 inflation forecast upwards from 1.7% to 1.8-1.9%.

# Czech Republic: Inflation set to jump on higher energy prices

Tuesday 6 October brings the flash estimate of September CPI. Annual headline inflation likely surged in September, with energy prices being the main driver of the increase. That said, we expect a punchy price increase in fuels, but also monthly price gains in regulated prices and foodstuffs. Czech industry entered solid ground this year, and real industrial output growth likely maintained a solid pace in August. Decent export performance is set to have contributed to a less pronounced trade deficit in the same month. Households still benefited from robust nominal wage

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## Key events in CEE & CCA next week



| Country             | Time (BST) | Data/event                              | ING      |          |
|---------------------|------------|-----------------------------------------|----------|----------|
| Monday 5 October    |            |                                         |          |          |
| Russia              | 0700       | Sep S&P Global Services PMI             | -        | 51.3     |
| Hungary             | 1000       | Sep Budget Balance (monthly, HUF bn)    | 179      | -2311    |
| Turkey              | 0800       | Sep CPI (MoM%/YoY%)                     | 2/30     | 1.8/31.5 |
| Tuesday 6 October   |            |                                         |          |          |
| Czech Rep           | 0800       | Sep CPI Prelim (MoM%/YoY%)              | 0.0/2.5  | 0.3/1.9  |
| Hungary             | 0730       | Aug Industrial Output (MoM%/YoY%)       | -3.0/3.7 | 1.7/4.7  |
|                     | 0730       | Aug Retail Sales (YoY%)                 | 4.2      | 4.9      |
| Wednesday 7 October |            |                                         |          |          |
| Poland              | 1400       | Rate Decision                           | 3.75     | 3.75     |
| Czech Rep           | 0800       | Aug Industrial Output (MoM%/YoY%, WDSA) | 0.3/3.3  | -1.1/2.5 |
|                     | 0800       | Aug Trade Balance (CZK bn)              | -4.4     | -8.5     |
| Hungary             | 0730       | Sep Core CPI (YoY%)                     | 2.1      | 2        |
|                     | 0730       | Sep CPI (MoM%/YoY%)                     | 0.6/2.0  | 0.2/1.3  |
| Thursday 8 October  |            |                                         |          |          |
| Turkey              | 1230       | Gross FX Reserves (USD bn)              | 60.9     | 62.8     |
| Czech Rep           | 0800       | Aug Retail Sales (MoM%/YoY%, SA)        | 0.6/4.8  | 0.6/4.9  |
|                     | 0900       | Sep Unemployment Rate                   | 5.1      | 5.0      |
| Romania             | 1400       | Rate Decision                           | 6.50     | 6.50     |
| Serbia              | 1100       | Rate Decision                           | 5.75     | 5.75     |
| Friday 9 October    |            |                                         |          |          |
| Turkey              | 0800       | Aug Industrial Output (MoM%/YoY%)       | -/-      | -1/-0.3  |
| Russia              | 1700       | Sep CPI (MoM%/YoY%)                     | 0.3/6.3  | -0.1/6.3 |

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Probably 20% of the total influence. And of that, 70% reflects productivity and 25% is AI issuance. It's a view based absolutely on what the numbers say, but in the end it's a judgement call (as objective as doable, overlaid with a large dollop of subjectivity)



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## The spending piece has a small, but not an inconsequential impact

There are three basic AI components to account for, namely:

1. The spending piece,
2. The capital markets piece, and
3. The productivity piece.

The spending piece is relatively straightforward, as it's a straight accounting in GDP. My colleague James Knightley has dealt with

this in detail [here](#). Basically, AI accounts for a third of current economic growth. The link here with rates is the tendency for higher growth to be loosely associated with higher rates. However, given that the economy outside of AI is less dynamic, the AI piece is more of a filler than anything else.

## The capital markets issuance piece has a more persuasive impact

The capital markets piece is more complex. ING's Jan Frederik Slijkerman did a deep dive into this space recently; it's [here](#). For 2026, he identifies TMT as a meaningful driver of additional

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to-date issuance in maturities of 17 years and longer totals US\$235bn, making it the largest maturity bucket, ahead of 9–12 year tenors (US\$219bn).

Equivalent issuance along the 10yr to 30yr part of the US Treasury curve sums to US\$340bn. That's unchanged versus the previous year. If we factor in buybacks, they are running at some US\$20bn above last year. So the swing factor from a US Treasuries perspective is an effective reduction in net issuance of the aforementioned US\$20bn. Contrast that with long-dated

investment-grade corporate issuance, which is running up US\$55bn compared with last year.

Adding the two together, we have an overall 'delta' of some US\$75bn (calculated as a US\$55bn increase in corporate long-dated issuance versus a US\$20bn increase in long-end Treasury buybacks for 2026). In other words, long-dated issuance pressure has been skewed towards corporates and away from US Treasuries. We'd not consider this in any way destabilising. But it's absolutely a factor to take into account.

Long-dated corporate supply surges led by

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It's always difficult to put a basis point implication of this on long dates, but it's tough to argue that this is not a contributing factor. Even with less corporate issuance outside the AI space for 2026, aggregate corporate issuance is still well up, and with a longer duration tilt to boot. These AI-spend players have also chosen to issue bonds in place of bank borrowing in order to get the required size and duration. The bank avenue would have meant banks' funding is much shorter (traditional bank duration mismatch). Bank lending is up, but nowhere near the same scale of the increase in

bond issuance. So, either way, back ends are feeling more pressure than they would for long-dated funding.

That all being said, the market has remained quite receptive to AI and wider corporate issuance. New issue premiums have tended to be higher for longer duration / AI-related issuance, but in the 10bp area they are far from tipping the long end over the edge.

## The productivity piece pushes in the same direction, but more mythical in nature

The productivity revolution that AI promises should enhance the productive capacities of both capital and labor. It's actually difficult

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yield is 2.9%. And the 10yr nominal yield is at 5.2%. So we're still at least 100bp below the levels we saw back in 2000. Whether we like it or not, rises in real yields for productivity reasons should be construed as higher yields for 'positive' reasons.

## A suggested breakout of influences from AI

Here's a suggested breakdown of the pure AI impact.

1. About 5% from the spending piece
2. About 25% from the issuance piece

3. About 70% from the productivity piece

But we can't leave it here, as AI is not the only influencer for long-dated rates. In fact, we'd argue that two other drivers – inflation and fiscal deficits – have been more impactful.

## **It's far from all about the AI impact, as holistically we have inflation and fiscal deficit factors too**

It's tough to paint a picture of long rates without

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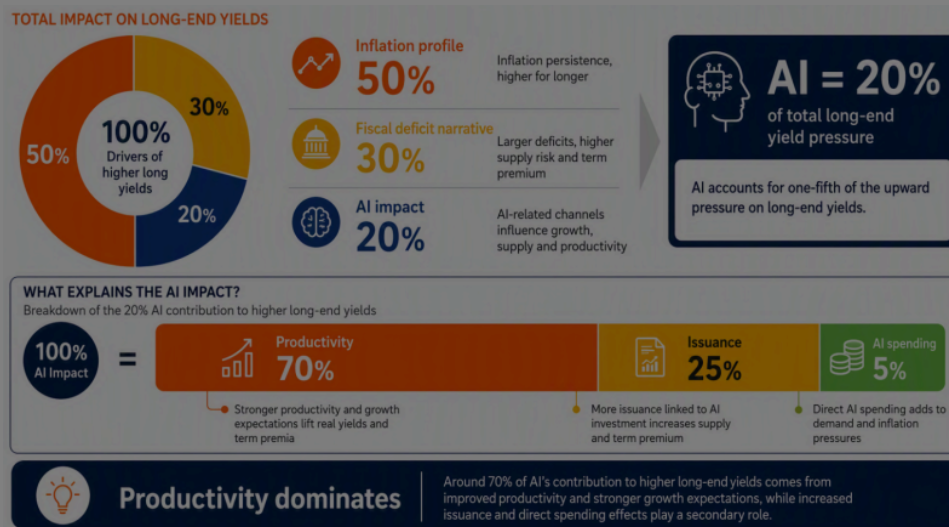
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developed markets back into inflation generation capability, and the Iran war and energy price spikes have juiced things up again. At the same time, where we are now for the US long yields is no more than a return to slightly above normal, by about 50bp in the 10yr. See more [here](#) on what that is all about. Ahead, we have inflation remaining sticky to the upside for 2026, before easing lower for 2027.

## **What's driving higher long-end yields?**



Source: ING Research

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inflation) was 4.4%, and nominal GDP rose by 6.6%. The current 10yr yield at 5.2% is not out of kilter with that. For more on the prognosis ahead, see [here](#) and [here](#).

Supply

Interest rates

AI

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France's fiscal package would prevent the deficit from reaching 6.5% of GDP next year, but it would not stabilise public debt. With a difficult political process ahead, French bonds are likely to remain under pressure, while the threshold for ECB intervention remains high



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## What is in the new budget?

France's minority government today presented its plans for the state budget (PLF), and a separate bill covering the financing of the social security system (PLFSS). The government aims to bring the public deficit back to 5% of GDP in 2027, after an expected increase from 5.1% in 2025 to 5.4% in 2026. Without corrective measures, the deficit would instead reach around 6.5% next year, as interest payments, pensions and other expenditure continue to rise.

The budget contains €43bn of measures compared with this no-policy-change scenario. Together with the growing impact of previous decisions, the total effort affecting the 2027 accounts would reach €54bn.

Much of the adjustment would come from higher revenues. The tax burden would rise from 43.9% to 44.2% of GDP through targeted measures affecting households and companies. These include a lower tax allowance for pensioners, changes to the taxation of sick leave and termination payments, fewer tax exemptions and stronger action against fraud. The surcharge on large companies would remain in place, while employers' social security reductions

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European criteria limiting the growth of so-called 'controllable' expenditure (at +0.7 per cent, the lowest rate of growth since 2017).

Even if fully implemented, the budget would only slow the deterioration. Public debt, already at 119% of GDP in mid-2026, is projected to reach 121.7% in 2027. A deficit of 5% would still be far too high to stabilise it.

**A modified budget is the most likely outcome**

The two bills must be formally filed at the National Assembly by 6 October, with the plenary debate scheduled to begin on 13 October. From the filing date, parliament has 70 days to complete the procedure for the state budget and 50 days for the social security budget. The main deadlines will therefore fall between late November and mid-December.

A straightforward parliamentary agreement appears unlikely given the absence of a stable majority. The more plausible route is that several weeks of negotiations produce a modified budget, but not enough support for a formal vote. The government could then use Article 49.3 of the constitution, which allows it to pass the bill

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The key question therefore is whether the opposition can assemble an absolute majority for censure. Both the Socialist Party and the Rassemblement National face a difficult choice. Bringing down the government would underline their opposition, but could prolong the uncertainty and leave the winner of the 2027 presidential election facing an even more urgent fiscal problem.

The RN currently appears inclined to avoid censure. According to *Le Monde*, it would prefer to enter 2027 with an imperfect budget that could later be amended rather than inherit no full budget and have to prepare an emergency one after the election. Crucially, the RN

and the Socialists do not need to support the budget. For them, it might look more comfortable to blame the current government for the austerity policies in the run-up to the presidential elections. Unless they unite behind the same no-confidence motion, the motion is unlikely to secure the required majority.

A modified budget is therefore likely to be adopted eventually, probably through Article 49.3 rather than a parliamentary vote. But before that, the coming weeks are likely to bring lengthy negotiations, amendments and shifting political positions.

## Buying time, not solving the problem

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*Charlotte de Montpellier*

## Bond spreads face further widening pressure as positive catalysts remain elusive

The budget plan marks a substantial effort towards fiscal consolidation. It may offer some temporary relief for spreads. But this is the government trying to convey the urgency of the situation – and bond markets will watch whether parliament takes notice or remains preoccupied with pre-election positioning.

Even taking into account some potential relief now, looking ahead we see spreads remaining in a range well above the 100bp level – more likely testing levels towards 150bp.

At the time of writing, the widely watched 10y OAT/bund spread has already topped 130bp. That is a 46bp widening since the start of September when the spread stood at 86bp. Picking out next target levels appears arbitrary at this point, as there are few anchors to hold on to. The next local highs were at 145bp, last seen during the sovereign debt crisis. The combination of increased volatility and a prolonged timeline of uncertainty is likely to keep the spread under widening pressure as it curbs investor appetite for

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the credit default swaps market. French 5y CDS spreads have widened by 36bp to 72bp since the start of September. In terms of dynamics, it slightly surpassed the pandemic impact, and we are now on par with levels last seen when Le Pen ran on a 'Frexit' platform in the 2017 elections.

It is important to add some perspective: the levels are only slightly above a range where Italy was traded from 2024 to early 2025 – and Italy's spread had spiked to above 250bp when the pandemic hit. But before markets can return to assessing France's pricing

relative to underlying fundamentals, we will likely need to see political stability first. A path that Italy has also shown.

*Benjamin Schröder*

## Will the ECB step in?

The widening French spread raises the question of whether the ECB could intervene through its Transmission Protection Instrument (TPI). TPI allows the ECB to purchase securities issued by member states whose financing conditions have deteriorated for reasons not justified by country-specific fundamentals. However, before activating it, the Governing Council considers a cumulative set of

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in a difficult position. Intervening too quickly in support of France may be viewed unfavourably by other member states and interpreted as monetary financing of the debt of a country unwilling to follow the rules. That argues strongly against early intervention. Also, don't forget that the leadership changes at the ECB over the next months (Schnabel, Lane, Lagarde) could also affect how the ECB views TPI.

However, in any case, if turmoil in the French bond market spreads and drives up yields in other highly indebted member states, pressure on the ECB to act would increase. That action would not necessarily have to come through the TPI immediately. The ECB

could instead pause quantitative tightening temporarily and reinvest maturing bonds in its portfolio “flexibly”, sending a positive signal to bond markets. This had already happened during the Covid period. Still, the more contagion in eurozone bond markets, the higher the risk that markets will eventually force the ECB to start TPI.

Broader market stress would also affect the ECB’s interest rate policy. In a speech to the European Parliament’s Committee on Economic and Monetary Affairs this week, Christine Lagarde noted that “while growth has been resilient, since our last meeting long-term interest rates have risen notably, which will slow growth and

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History suggests that the euro's correlation with eurozone spread widening can pick up rapidly. Today's budget announcement in France leaves OATs at risk of further underperformance, and a so far resilient EUR/USD may be looking at material downside risks if things don't improve. EUR/CHF is facing similar depreciation potential

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## FX spillover from France is starting

This morning's market chatter is increasingly focused on widening eurozone spreads finally spilling over into the euro, with the French-German 10-year spread reaching 130bp.

Both EUR/USD and EUR/CHF have moved lower today. The latter is providing the clearest signal that bond market stress is feeding into FX. The dollar continues to benefit from broad-based support, driven by tighter global financial conditions, elevated energy prices

and a hawkish Fed. Instead, the Swiss franc's momentum was bearish until this morning, with a dovish surprise last week by the Swiss National Bank weighing on the currency.

Our colleagues analyse today's budget announcement in France [in this note](#). ING's view is that this budget buys some time but fails to solve structural deficit issues. Markets still have little incentive to price fiscal premia out of OATs, and with no party having presented a sufficiently detailed spending cut plan, the upcoming elections are adding to the uncertainty. Our rates team believes 150bp may be the next step for the 10yr OAT-Bund spread.

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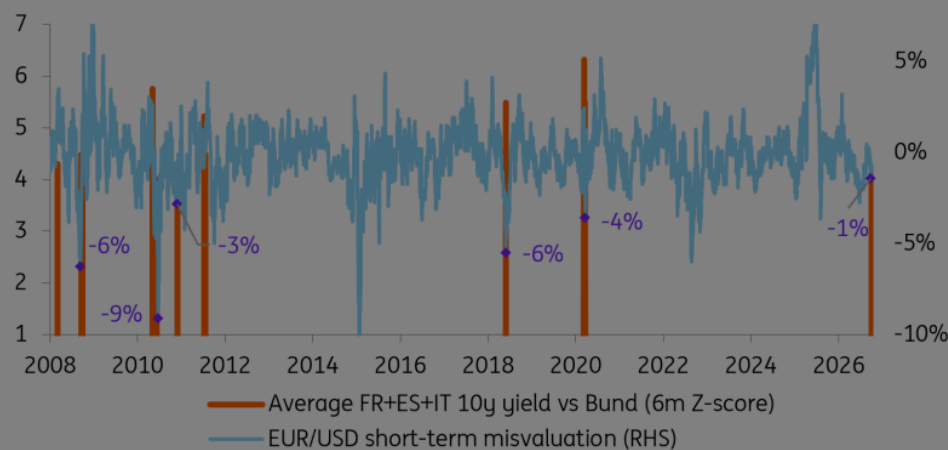
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**The euro's reaction has been contained compared to past episodes**



Source: ING, Refinitiv

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fiscal risk, and we could see further downside there too. Still, the franc's idiosyncratic fragilities may get in the way, meaning we don't expect CHF to outperform USD materially purely on the back of the French story. A drop to 1.110 in EUR/USD could equal a move to roughly 0.920-0.925 in EUR/CHF.

FX

Euro

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The quick answer: it is about future-proofing businesses. As extreme weather and AI reshape the future of sustainability, resilience is becoming a business advantage. And resilience and decarbonisation go hand in hand



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## Rethinking business sustainability

This year's New York Climate Week marked a clear shift from five years ago. The focus has moved beyond emissions targets, Scope 3 accounting, and climate disclosure. While changes in the US policy landscape have played a role, two broader trends are now reshaping the sustainability agenda. Both were evident throughout this year's event.

First, climate risk got more attention. And for good reason.

Wildfires, hurricanes, and flooding are becoming harder to ignore and could cost the US [over \\$1tr](#) from 2026-2030.

Second, AI dominated the conversation. As electricity demand surges, clean energy technologies such as solar, nuclear, and geothermal are being called upon to expand supply, creating new growth opportunities.

We expect these two forces to shape the future of sustainability in the US. For corporates, the implication is clear: **sustainability is increasingly about future-proofing the business.**

What does that mean? It starts with managing climate **risks**. Corporates need to secure access to the energy and resources needed to operate and grow. They must also ensure their assets

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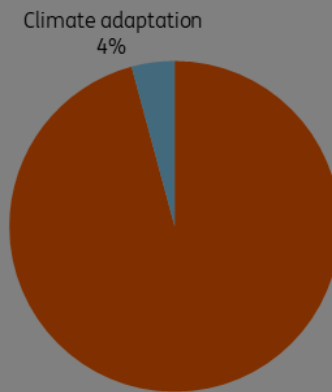
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is a gap between acknowledgement and identifying them as financially material, and another gap between the latter and making immediate investment decisions.

The result is that climate finance is skewed heavily toward reducing emissions (mitigation), while climate risk management (adaptation) receives far less. Annual global investment in mitigation has reached [\\$1.3tr-\\$1.8tr](#) annually in recent years, whereas adaptation investment stands only at [\\$68bn](#) per year.

# Estimated breakdown of annual global climate-related investment



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Sectors such as **industrials**, **materials**, **IT**, and **real estate** are also vulnerable, although the risks they face are less difficult to contain or transfer. Significant losses can therefore still occur if climate risks are not properly addressed.

To be fair, there are valid reasons behind the underinvestment in climate risk. The “returns” from climate adaptation are still consistently viewed as “loss avoided” rather than “revenues generated.” By contrast, mitigation technologies such as solar panels can produce tangible cash flows and therefore attract capital more easily.

But that assumption needs to be challenged. Research from various insurers, rating agencies, banks, and government institutions suggests that climate adaptation investments can generate positive returns.

For example, flood defences can reduce asset vulnerability, cooling systems can improve operational reliability, and supplier diversification can increase supply chain resilience. They can make businesses more durable and better positioned for growth.

The rise in demand for climate adaptation can also create new business opportunities. Products such as climate-resilient

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The need to invest more in climate resilience does not diminish the importance of decarbonisation. Without it, climate risks would only become harder and more costly to manage.

Accelerating the deployment of clean technologies remains central to decarbonisation. Beyond reducing emissions, clean energy helps expand power supply. As US electricity demand rises with growing AI data centres and manufacturing, technologies such as solar can be deployed relatively quickly to meet demand. Over time, emerging technologies like geothermal and longer-term solutions such as nuclear could play a much larger role in the energy mix.



This is a clear example of how sustainability can support economic growth. Corporates developing and supplying clean power are well positioned to expand, while data centres and technology firms are expected to remain major buyers of clean electricity and important drivers of new capacity.

But other power-intensive industries may face increasing competition from data centres for electricity, including clean power. Aluminium is one example. Emirates Global Aluminium and Century Aluminium are planning the first new US aluminium smelter in nearly 50 years, but securing sufficient electricity may become more challenging as data centre demand continues to

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One promising solution is greater flexibility in electricity demand. Companies that can adjust when and how they use power can help free up grid capacity and, under many regulatory reforms, improve their ability to connect to the system more quickly.

Encouragingly, more companies are exploring these approaches, although efforts remain fragmented. Even so, we may be approaching a turning point where today's best practices become tomorrow's industry standard, and today's reforms help shape the power system of the future.

In this environment, engagement matters. Companies that work closely with utilities, grid operators, regulators, and local communities will be better positioned to navigate constraints and secure the power they need.

## Risks and opportunities are not isolated

As policy priorities, technologies, and climate risks evolve, so too has the meaning of sustainability in the US. Increasingly, it is about future-proofing businesses by managing material risks and capturing emerging opportunities.

These objectives are not competing priorities. By strengthening

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